ACCOUNTS RECEIVABLE

Overview and Objectives

Overview

This module provides an overview of the accounts receivable process flow, managing customers and invoices, and processing customer payments and credits.

Objectives

- Describe the Accounts Receivable workflow
- Create and maintain customers
- Create an invoice
- Invoice sales orders
- Receive and apply payments from customers
- Create customer deposits and credits

Student Exercises

This module includes the following hands-on exercises:

- Exercise 01: Invoice a Sales Order*
- Exercise 02: Create an Invoice*
- Exercise 03: Accept Customer Payments*

WALKTHROUGH | Managing Customers and Invoices

Tasks to be Demonstrated	During this walkthrough, we will demonstrate the following tasks: ➢ Create a new customer ➢ Create an invoice ➢ Invoice a sales order
Scenario	Gill, Inc. has entered into an agreement with Leo Burnett, a global advertising agency, to provide office supplies to their local offices. In this walkthrough, you will learn how to: ➢ Create a new customer record for Leo Burnett ➢ Create an invoice for items sold to Leo Burnett's Sydney, Australia office Your will also learn how to invoice for orders fulfilled on a sales order.

WALKTHROUGH | Processing Payments and Credits

Tasks to be Demonstrated	During this walkthrough, we will demonstrate the following tasks: ➢ Accept customer payments ➢ Record customer deposits ➢ Record customer credits
Scenario	Gill, Inc.'s accounts receivable department received several checks from customers in their daily mail delivery. They were also notified that items have been returned from customers. In this walkthrough, you will learn how to: ➢ Accept customer payments from Leo Burnett and Angelo International ➢ Record a customer deposit from Angelo International ➢ Record a customer credit and refund to Smith Supplies

MODULE EXERCISES

Student Exercises		Duration
01	Invoice a Sales Order*	5 minutes
02	Create an Invoice*	5 minutes
03	Accept Customer Payments*	5 minutes

EXERCISE 01: Invoice a Sales Order (Required)

Scenario: Gill, Inc. has fulfilled and shipped items sold on a sales order to REI. As a member of the accounts receivable department you must now invoice REI for the items sold.

In this exercise, you will invoice a sale order.

Invoice a Sales Order

1. Make sure you are logged in as **11: US A/R Analyst**.
2. Navigate to **Customers > Sales > Invoice Sales Orders**.
3. On the Invoice Sales Orders page, enter/select the following:

Field	Description
Customer	REI
Posting Date	Dec YYYY (Current year)
Date	12/1/YYYY (Current year)
Next Bill On or Before	12/31/YYYY (Current year)
To Be Printed	Yes
To Be Emailed	No
A/R Account	1100 Accounts Receivable

4. On the **Orders** subtab, check **Invoice** box next to any open sales order(s). Make note of the sales order number(s) selected.
5. Click **Submit**.
6. The Process Status page opens, displaying the invoices being processed.

7. Click **Refresh** until the Submission Status is Complete. Verify there are zero errors.
8. Click **Complete** hyperlink in the Submission Status column.
9. The Processed Records page opens, displaying the invoices processed.
10. In the Results Record column, click an **Invoice #**.
11. The Invoice page opens and has a status of Open.
12. Verify the invoice was created from the sales order number noted in step 3.
13. Click the **Actions** dropdown list from the invoice header and select **GL Impact**. Review the accounts debited and credited.

EXERCISE 02: Create an Invoice (Required)

Scenario: An employee of REI physically came into a Gill, Inc. store and purchased goods, but wants to be billed later.

In this exercise, you will create an invoice.

Create an Invoice

1. Navigate to **Customers > Sales > Create Invoices**.
2. Enter the following in the Primary Information field group:

Field	Description
Custom Form	Standard Product Invoice
Invoice #	Autofills by default
Customer	REI
Project	Leave blank.
Date	12/1/YYYY (Current year)
Start Date	Leave blank.
End Date	Leave blank.
Posting Period	Dec YYYY (Current year)
Due Date	12/31/YYYY (Current year)
PO #	Leave blank.
Memo	Walk-in purchase

3. Verify the following in the Classification field group:

Field	Description
Subsidiary	US 1
Location	US West Distribution Center

4 Click the **Items** subtab, **Items** sublist and enter the following:

Item	Qty	Tax Code
APPAREL : Old Faithful Sweater : Old Faithful Sweater-C-L	2	-Not Taxable-
APPAREL : Oxbow Shirt : Oxbow Shirt-A-L	2	-Not Taxable-

5 Click **Add**.

6 Click the **Billing** subtab. Verify the Terms are **Net 30**.

7 Click **Save**.

8 The Invoice page displays with a status of Open. Make note of the invoice number.

9 Click the **Actions** dropdown list from the invoice header and select **GL Impact**. Review the accounts debited and credited.

EXERCISE 03: Accept Customer Payments (Required)

Scenario: Gill, Inc.'s accounts receivable department received a check from REI for items sold on open invoices.

In this exercise, you will accept the customer's payment.

Accept Customer Payments

1. Navigate to **Customers > Accounts Receivable > Accept Customer Payments**.
2. Enter the following in the Primary Information field group:

Field	Description
Custom Form	Standard Customer Payment
Customer	REI
Payment #	Accept default.
Currency	USD
Exchange Rate	1.0
A/R Account	1100 Accounts Receivable
Undep. Funds	Select radio button.
Date	12/1/YYYY (Current year)
Posting Period	Dec YYYY (Current year)

3. Verify the following in the Classification field group:

Field	Description
Subsidiary	US 1
Department	Leave blank.
Class	Leave blank.
Location	US West Distribution Center

4. Click the **Apply** subtab, **Invoices** tab.
5. Check **Apply** next to the invoices created in the Invoice a Sales Order and Create an Invoice exercises.

6 Click the **Payment Method** tab and enter the following:

Field	Description
Payment Method	Check
Check #	274

7 Click **Save**.

8 The Payment page displays with a status of Not Deposited.

9 Click the **Actions** dropdown list from the invoice header and select **GL Impact**. Review the accounts debited and credited.